

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think> To determine Josh's profit, we need to first find out the new value of the house after the repairs. Since the \$50,000 in repairs increased the value by 150%, we can calculate the original value of the house before repairs by using the formula: $\text{original value} = \text{new value} / (1 + \text{increase percentage})$. $= 80,000 / (1 + 1.5) = 80,000 / 2.5 = 32,000$. Then, we add the \$50,000 in repairs to get the new value: $32,000 + 50,000 = 82,000$. Now, to find the profit, we subtract the original purchase price from the new value: $82,000 - 80,000 = 2,000$. </think><answer> 2000 </answer>

